Tax News & Insights

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OmniTax Professionals

Capital Gains Tax & Negative Gearing Changes Enacted

On 26 June 2026, the *Treasury Laws Amendment (Tax Reform No 1) Act 2026* and the *Income Tax Rates Amendment (Tax Reform No 1) Act 2026* containing the CGT and negative gearing reform measures announced in the 2026-27 Federal Budget completed their passage through Parliament and received Royal Assent. Please refer to previous OTP Tax News & Insights for details on the key measures covered by this new law.

Importantly, various amendments were made to the legislation that previously passed the House of Representatives, including the following:

1. From 10 August 2026, self-managed superannuation funds will no longer be able to acquire residential properties through limited recourse borrowing arrangements. The amendment is prospective only and any such arrangements entered into prior to this date will not be impacted. Further, any refinancing of borrowing arrangements that existed before this date will also not be impacted.

2. The $2 million turnover threshold for the existing small business active asset 50% CGT reduction will be increased to $10 million. This increased threshold applies in relation to assessments for the income year that includes 1 July 2027 and later income years.

3. Removal of various ministerial discretionary powers to determine which assets can retain access to the 50% CGT concession or that are exempt from the "negative gearing" loss quarantining requirements.

Bendel's case – Decision Impact Statement

In the *Bendel* case, a 5:2 majority of the High Court found that a company's failure or inaction to call for payment of an unpaid present entitlement ("UPE") owed to it by a trust is not, in itself, a loan for Division 7A purposes. This displaces the Commissioner's long-standing position (also confirmed in TD 2022/11) that a UPE by a trust to a corporate beneficiary is regarded as the provision of financial accommodation by the corporate beneficiary to the trust, and hence a Division 7A loan.

The ATO has now released a Decision Impact Statement in response to the High Court decision. Key points to note from the Decision Impact Statement include:

- UPEs to private company beneficiaries where the beneficiary has not taken any action in respect of the UPE since the present entitlement arose are not regarded as loans for the purposes of Division 7A.

- The ATO will withdraw its long-held position in TD 2022/11. Further, the ATO will review various other guidance and amend / withdraw such guidance where appropriate.

- Where previous UPEs have been made subject to complying Division 7A loan terms, then those arrangements will, as a matter of fact, be regarded as loans and will continue to be treated consistently as loans. The High Court's decision does not reinstate the UPE.

- Where previous UPEs have been assessed as deemed dividends (i.e., they were not made subject to complying Division 7A loan terms), then amendments may be able to be lodged for such assessments. Further, objections may be lodged if the assessment is outside of the amendment period (the ATO has noted that requests for extension of time will be considered taking into account the particular circumstances of each taxpayer).

- Where a private company beneficiary has a UPE from a trust, and the trust pays, makes a loan to, or forgives a debt of a shareholder or associate of a shareholder of that company, the ATO may continue to consider the application of Subdivision EA. This will result in the payment, loan or forgiven debt being treated as an unfranked dividend, resulting in the shareholder or associate being subject to personal income tax on that amount.

- Where a UPE arises out of, or in connection with, an arrangement that is intended to reduce someone's tax liability where someone else benefits, and that arrangement is entered into outside of the ordinary course of a family or commercial dealing, then the Commissioner will continue to seek application of section 100A which makes the trustee liable to tax at the top marginal rate on the beneficiary's entitlement. The ATO has increased its scrutiny of such arrangements. It is important to note that this integrity rule generally does not apply where a beneficiary uses a distribution to repay a pre-existing genuine debt, if there is an actual cash distribution to the beneficiary or there is evidence that substantiates the previous advancement of funds to the beneficiary. However, where the arrangement is driven by tax positions, is recorded by book entry only or there is no evidence of any pre-existing loan, then the integrity rule will likely be applicable.

Given the release of the Decision Impact Statement, which changes how UPEs have been historically governed, taxpayers should seek tax advice on the impact of the decision on their current distribution strategies and historical arrangements, especially where they have applied the Commissioner's views and included a deemed dividend in their assessable income as a result of an existing UPE.

Loss Carry Back and IAWO Changes

The *Treasury Laws Amendment (Tax Reform No. 2) Bill 2026* has been introduced into Parliament and contains the following amendments announced in the 2026-27 Federal Budget:

- Introduction of the tax loss carry back provisions. This amendment will allow a corporate entity to carry back a tax loss for an income year and offset it against tax paid in either or both of the previous two income years. The carry back of the tax loss will generate a refundable tax offset. The amount of the offset cannot exceed the amount of earlier tax paid by the corporate entity and its franking account balance at the end of the year in which the offset is claimed. The corporate entity (which includes a company, corporate limited partnership and public trading trust) must have annual global turnover of less than $1 billion.

- Permanent increase of the small business instant asset write-off threshold to $20,000. Similarly, the low value pool threshold for small business entities will be permanently set to $20,000.

The Bill has been referred to the Senate Economics Legislation Committee for report by 13 August 2026.

Testamentary Trusts excluded from Minimum Tax on Trust Distributions

On 18 June 2026, the Federal Government announced that all types of testamentary trust will be exempt from the proposed minimum 30% tax on trust distributions, including future testamentary trusts. In the 2026-27 Federal Budget, it was announced that such grandfathering was limited to discretionary testamentary trusts that were already in existence at the time of the Federal Budget.

Relevantly, the exemption from the minimum tax (which is proposed to apply from 1 July 2028 based on announcements) will be reserved for trusts established for genuine testamentary purposes and limited to income from assets of the deceased estates. Further, for discretionary testamentary trusts established on or after 1 July 2028, the exclusion will be limited to trusts that can only benefit individuals and income tax exempt entities. The detail on this exclusion will be provided once draft legislation is released, but this may mean that a discretionary testamentary trust established on or after 1 July 2028 that can distribute to a taxable corporate beneficiary (irrespective of whether it does) is <u>not</u> excluded from the minimum tax on trust distributions from the trust.

CGT Concession for Start-Ups

On 18 June 2026, the Government announced that a new Innovative Business CGT concession ("IBCC") is proposed to provide a 50% CGT discount to early-stage investors including founders and those participating in employee share schemes and share option plans of innovative start-up businesses. The concession will allow individuals and trusts holding start-up shares a choice to calculate CGT liability using the discount method (without a minimum tax) and the cost base indexation method (with a minimum 30% tax) on a capital gain.

The proposed criteria for the start-up concession include:

- The shares must be issued after 30 June 2027 by an unlisted and independent company
- The shares must have been issued by a company that is under 10 years old with a turnover of less than $50 million (noting that 15-year-old shares are also eligible for certain limited start-ups)
- The company must be an active innovative start-up, and
- The shares must have been held for at least 5 years before being sold.

Note, there will be a lifetime cap on gains of $10 million per individual (before CGT discount). Further details will be released on particular aspects of the concession, including any other qualifying or disqualifying criteria.

Fuel Tax – Temporary Extension of Relief

Previously, the Federal Government announced a temporary fuel excise cut and a 3-month reduction in the road-user charge from 1 April 2026 to 30 June 2026. This was a reduction of 32.4 cents per litre. The Federal Government has extended the temporary fuel excise cut from 1 July 2026 to 2 August 2026 but at a reduced rate of 16.2 cents per litre.

Contact

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